

Amendment No. 1 to SB2163

Gardenhire
Signature of Sponsor

AMEND Senate Bill No. 2163*

House Bill No. 2272

by deleting all language after the caption and substituting:

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 57-4-110, is amended by deleting the section and substituting:

(a) Notwithstanding another law or rule to the contrary, a manufacturer licensed under § 57-3-202, a winery licensed under § 57-3-207, or a non-resident seller or a non-manufacturer, non-resident seller licensed under § 57-3-605, including, but not limited to, a person with a direct or indirect interest in any of the foregoing, may have a direct or indirect interest in an establishment licensed pursuant to this part; provided, that the person's interest under chapter 3 of this title or the person's interest under this part is held in an irrevocable trust by an independent trustee.

(b) A person whose interest in a brand or business is held in an irrevocable trust by an independent trustee shall not participate in the management or operation of the brand or business for which the interest was placed in the irrevocable trust.

(c)

(1) A person whose interest is held in an irrevocable trust by an independent trustee may enter into a licensing agreement through the trust for the use of the person's name, image, or likeness, and such person may participate in advertising or promotional activities for the brand or business held in the trust through the use of the person's individual name, image, or likeness, including, but not limited to, personal appearances, active promotion, and new

content capture if the advertising or promotional activities are limited to the promotion of the brand or licensed retail establishment and such advertising or promotional activities do not constitute a violation of existing federal law.

(2) Any such licensing agreement may provide for compensation payable to the trust that is based on one (1) or more of the following:

(A) A fixed fee; or

(B) A percentage of sales or profits that does not exceed ten percent (10%).

(3) Any licensing agreement or related document provided to the commission pursuant to this subsection (c) constitutes proprietary information pursuant to § 10-7-504(a)(24).

SECTION 2. This act takes effect upon becoming a law, the public welfare requiring it.